

Galascope Critical Red Lines — Lighthief Response

Ref: LCY-EPC-GAL-B1-2026 · Responding to your critical red-lines memo and redraft (received 17 Sep 2026)

Prepared by Lighthief Cyprus Ltd · 21 September 2026

This document responds to the two critical red lines raised (System Compliance to DSO/TSO Technical Requirements; Battery Warranty Nullification), and sets out our position on the related points raised in the EPC redraft. It is structured as a request/response table so each item can be tracked to resolution.

1. The two critical red lines

1.1 System Compliance to DSO/TSO Technical Requirements

Your request: Lighthief bears responsibility for BESS compliance with DSO/TSO technical requirements and liaison with the DSO/TSO/local experts; Lighthief is fully liable for any refusal to connect, delays, cost of amendments and warranty implications; full refund option or other Galascope-acceptable remedies.

Our position: We agree that Lighthief should bear responsibility here, and the compliance obligation is already allocated to us in the EPC (§19.11(b); Schedule A). On liability and remedy, we propose a new clause that gives you a concrete, enforceable protection without an open-ended formulation that goes beyond what is standard in bankable EU BESS EPC contracts:

“The Contractor warrants that the BESS, as designed and delivered, complies with the DSO/TSO technical requirements applicable at the Order Date. If the DSO/TSO refuses connection on grounds attributable to the Contractor's non-compliant design or equipment, the Contractor shall, at its own cost and within ninety (90) days of notice, rectify or re-engineer the non-compliant element(s) to achieve compliance. If not cured within that period, the Client may terminate this Agreement as to the affected Park and recover amounts paid in respect of the non-compliant scope, together with Delay Liquidated Damages accrued under Section 8.4 for the resulting delay, subject always to the caps in Section 13.2. This Section 19.11A does not apply where the refusal arises from a change in DSO/TSO requirements after the Order Date, grid-capacity constraints outside the Contractor's control, or any act or omission of the Client.”

1.2 Battery Warranty Nullification

Your request: bar Force Majeure, any battery-warranty-nullification event is Lighthief's sole responsibility (Lighthief controls DISPERON/EMS and provides the LTSA); financial assurance for the full Total Contract Value and/or alternative remedies fully acceptable to Galascope.

Our position: We agree with the principle — the EMS-malfunction and Force Majeure protections you're relying on are already in the EPC (§10.5(ii)/§10.5A, §10.5(iii), §12.6). On financial assurance, rather than tying this to the full contract value within the general liability cap (which is not how warranty-performance risk is

typically backed in bankable BESS EPCs, and is not something our insurers can underwrite), we propose a package of concrete financial backing that directly addresses the risk:

- Widening the Lighthief International Ltd parent-company undertaking (Schedule D) so it responds not only to Lighthief Cyprus insolvency, but also to a final, binding court/arbitral finding of an uncured material breach.
- Increasing the LTSA liability cap from its current level to 50% of cumulative Service Fees paid, aligning it with the EPC's own 50% liability tier.
- Adding a clause so that if a late response under the LTSA directly causes a warranty-voiding event, the response-time remedy does not block your warranty claim.
- Increasing our Professional Indemnity insurance from €2,000,000 to €5,000,000 per occurrence.

2. Request & Response Summary

#	Your request	Our response
1	DSO/TSO refusal to connect: full liability, full refund	New Grid Compliance Warranty clause — rectify at Contractor's cost, with a defined remedy if uncured (see §1.1)
2	Battery warranty: sole responsibility + financial assurance for full contract value	Widened parent-company guarantee + increased LTSA liability cap + PI insurance increase (see §1.2)
3	EPC §13.2(a) own-scope liability cap: 10% → 50%	We propose retaining 10%, consistent with market-standard EPC practice for the Contractor's own installation scope
4	EPC §13.2(b) other-breaches liability cap: 50% → 100%	We propose retaining 50%, which is already at the upper end of typical EU BESS EPC practice
5	EPC §13.3A: broaden uncapped carve-outs (cyber, IP, product recall, systemic defects)	We are supportive in principle, subject to confirming matching insurance/bond cover is available for each category
6	EPC §1A: new 'Conditions Satisfaction Notice' gate before any obligation, payment or order arises	We propose retaining the current Conditions Precedent structure, which already provides an objective basis for payment and refund triggers
7	EPC §7.4A Set-off: remove cap, extend to PAC/Retention	We propose raising the current set-off cap from 15% to 20%, while continuing to exclude PAC payments and require the amount to be agreed or adjudicated
8	EPC §16.3B / Schedule D trigger: broaden beyond insolvency	Addressed together with item 2 — widened to insolvency or an

		adjudicated finding of uncured breach
9	EPC §9.2 Defects Liability Period: 3 months → 12 months	We propose retaining 3 months, consistent with market practice for BESS EPC defects liability periods
10	LTSA response-time sole remedy interacting with warranty claims	Agreed — carve-out added so this does not block a warranty claim caused by a response-time failure (see §1.2)
11	EPC §7.1A Performance Guarantee: 6 → 12 months post-PAC	Already reflected in the current EPC — no further change needed

We're keen to close these two points out quickly and are happy to discuss any of the above on a call this week.